

DATA PROCESSING ADDENDUM (GDPR & CCPA COMPLIANCE)

CONFIDENTIAL & PROPRIETARY LEGAL INSTRUMENT

PREAMBLE. SCOPE, NATURE, AND PURPOSE OF PROCESSING

This Data Processing Addendum ("DPA") supplements and is incorporated into the Master Services Agreement between Customer (acting as "Data Controller") and Cloud Solutions Inc. (acting as "Data Processor"), governing the processing of European Economic Area (EEA), UK, and Swiss personal data in accordance with Regulation (EU) 2016/679 ("GDPR").

The categories of data subjects include Customer's employees, consumers, and vendors. Processing operations encompass cloud indexing, automated categorization, and enterprise retrieval.

ARTICLE 1. CONTROLLER INSTRUCTIONS AND COMPLIANCE

1.1 Documented Instructions: Processor shall process Personal Data solely on documented instructions from Controller, including with respect to international data transfers. Processor shall promptly inform Controller if, in its opinion, an instruction infringes the GDPR or national data protection laws.

1.2 Confidentiality of Personnel: Processor shall ensure that all employees, contractors, and agents authorized to process Personal Data have committed themselves to confidentiality under statutory or contractual obligations.

ARTICLE 2. TECHNICAL AND ORGANIZATIONAL SECURITY MEASURES

2.1 Security Controls: Processor shall implement and maintain technical and organizational measures (TOMs) specified in Annex II, including: (a) pseudonymization and automated tokenization; (b) continuous resilience testing of processing systems; and (c) rapid data restoration protocols.

2.2 Security Audits: Processor shall maintain independent third-party SOC 2 Type II and ISO 27001 certifications. Controller may inspect auditor verification reports once annually upon reasonable notice.

ARTICLE 3. SUBPROCESSOR APPOINTMENT AND NOTIFICATION

3.1 Authorized Subprocessors: Controller grants general authorization for Processor's engagement of hosting and telemetry subprocessors listed on Processor's subprocessor portal.

3.2 Prior Notification of Changes: Processor shall notify Controller at least thirty (30) calendar days prior to onboarding any new or replacement subprocessor. Controller may object on reasonable data protection grounds within fourteen (14) days. If the parties cannot resolve the objection, Controller may terminate the affected service without penalty.

ARTICLE 4. DATA SUBJECT RIGHTS AND ASSISTANCE

4.1 Fulfilling Data Subject Requests: Processor shall provide all necessary technical assistance to enable Controller to respond to requests exercising data subject rights (access, rectification, erasure, restriction, and portability) within ten (10) calendar days of notification.

ARTICLE 5. DATA BREACH NOTIFICATION OBLIGATIONS

5.1 48-Hour Notification: In the event of a confirmed Personal Data Breach, Processor shall notify Controller without undue delay, and in any case within forty-eight (48) hours of becoming aware of the breach.

5.2 Information Provided: The notification shall detail the nature of the incident, estimated categories and numbers of data subjects affected, likely consequences, and remediation measures undertaken.

ARTICLE 6. CROSS-BORDER TRANSFERS AND STANDARD CLAUSES

6.1 EU Standard Contractual Clauses: To the extent transfers of Personal Data occur outside the EEA to third countries lacking an adequacy decision, the EU Standard Contractual Clauses (Module 2: Controller-to-Processor) are hereby incorporated by reference.

ARTICLE 7. TERMINATION OF DATA PROCESSING

7.1 Deletion or Return: Within thirty (30) days following the termination or expiration of the Master Services Agreement, Processor shall, at Controller's election, return all Personal Data or securely delete and overwrite all copies from active production clusters and disaster recovery archives.

7.2 Certification: Processor's Chief Information Security Officer shall certify in writing to Controller that all Personal Data has been permanently destroyed in accordance with DoD 5220.22-M wiping standards.